

ENGLISH **LIVE**

6

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 6

16th January, 2017

Too Dependent on Tax Revenues from Oil

The reported buoyancy in indirect taxes may have much to do with rising oil prices. The finance minister has stated that soaring consumption taxes — by 25% during April-December — cannot imply economic slowdown, but it is possible that higher taxes on petroleum products have revved up the overall figure.

True, central excise duty collections have soared a huge 31.6% in December alone. It seems to suggest smart increase in output generally. Note, however, that the prices of imported crude did double last year (albeit from a low base), and given ad-valorem duties like customs and excise, the revision would have led to a significant surge in tax revenues. Figures available for the first half of 2016-17 at the Petroleum Planning &



Analysis Cell site show that indirect oil taxes have surged by over 20% for the Centre. It is also a fact that retail taxes on petroleum products add up to about 40% of total central indirect tax collections. So, it cannot be gainsaid that oil has contributed heavily to the seeming surge in indirect taxes. However, we do need to modernise our indirect tax structure, broaden the tax base and not be much too disproportionately dependent on petroleum products for revenue. The cascading nature of taxes on oil products, with tax on taxed items par for the course in petroleum, only adds to the surge in tax revenue.

There is a paradigm shift away from oil and fossil fuels, and in the transport sector, non-oil-fuelled vehicles seem likely to become commonplace much sooner than expected earlier. Hence the need to rationalise taxes on oil products in a time-bound fashion. Besides, we need to have goods and services tax for petro-products so as to boost efficiency in transport and logistics. Top-up cesses might be warranted, on account of pollution/greenhouse gas emissions.

THE ECONOMIC TIMES

12th January 2017

←
DISCUSSION ON
16th Jan (today)

→
DISCUSSION ON
17th Jan (Monday)

On Interest Rates, Urjit Patel is Bang On

Timely warning on artificially lowering risk

Reserve Bank of India (RBI) governor Urjit Patel did the nation, not to speak of his own reputation, a major service by speaking up against large-scale lowering of interest rates by means of subventions from the Union Budget and against credit guarantees. In a well-functioning market, the interest rate offered to a particular enterprise includes, besides the cost of money in general, a risk premium that is tailor-made for that enterprise in its particular line of business, reflecting the likelihood of the said enterprise succeeding. Distorting interest rates is likely to end up misallocating resources.

Money has alternative opportunities for deployment. If a risky venture could attract capital because someone is willing to subsidise a part of its interest cost, it could, in the process, deprive another venture that has lower risk but does not have anyone to subsidise its interest cost, not just of capital, but also of land, workers, power, entrepreneurial energy — of a chance to form and get going.



The inherent risk, which cannot be mitigated by an interest subvention, might sink that project that did get funded, and the result would leave society poorer for not having funded the intrinsically less risky project in the first place. A similar logic applies to credit guarantees by the government.

Tampering with the cost at which capital is available to an enterprise is a recipe for misallocating and wasting resources, lowering welfare in general. Of course, interest subventions and credit guarantees are useful and necessary in small doses, to compensate for risk perception arising from lack of information and large transaction costs in resolution, in case of failure.

Coming, as the RBI governor's warning does, in the wake of the prime minister announcing significant interest subventions on housing and enhanced credit guarantees in his New Year Eve address, it makes the point that fear of political displeasure will not prevent Patel from making public his professional views on vital matters. Giving that message is as vital as the sense on interest rates, in the interest of the RBI's institutional image.

THE ECONOMIC TIMES

13th January 2017



LEARNING SPACE

...Transforming Human Lives

Too Dependent on Tax Revenues from Oil

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There is a paradigm shift away from oil and fossil fuels, and in the transport sector, non-oil-fuelled vehicles seem likely to become commonplace much sooner than expected earlier. Hence the need to rationalise taxes on oil products in a time-bound fashion. Besides, we need to have goods and services tax for petro-products so as to boost efficiency in transport and logistics. Top-up cesses might be warranted, on account of pollution/greenhouse gas emissions.

Too Dependent on Tax Revenues from Oil

Editorial

THE ECONOMIC TIMES

12th January 2017

Too Dependent on Tax Revenues from Oil

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The reported **buoyancy** in indirect taxes may have much to do with rising oil prices. The finance minister has stated that **soaring** consumption taxes -by 25% during April-December -cannot **imply** economic slowdown, but it is possible that higher taxes on petroleum products have **revved up** the overall figure.



TAXES

DIRECT

Personal Income Tax
Corporation Tax

INDIRECT

Customs Duty
Excise Duty



Buoyancy



- Successful and with a lot of activity
- Increasing and staying at a high level

Buoyancy



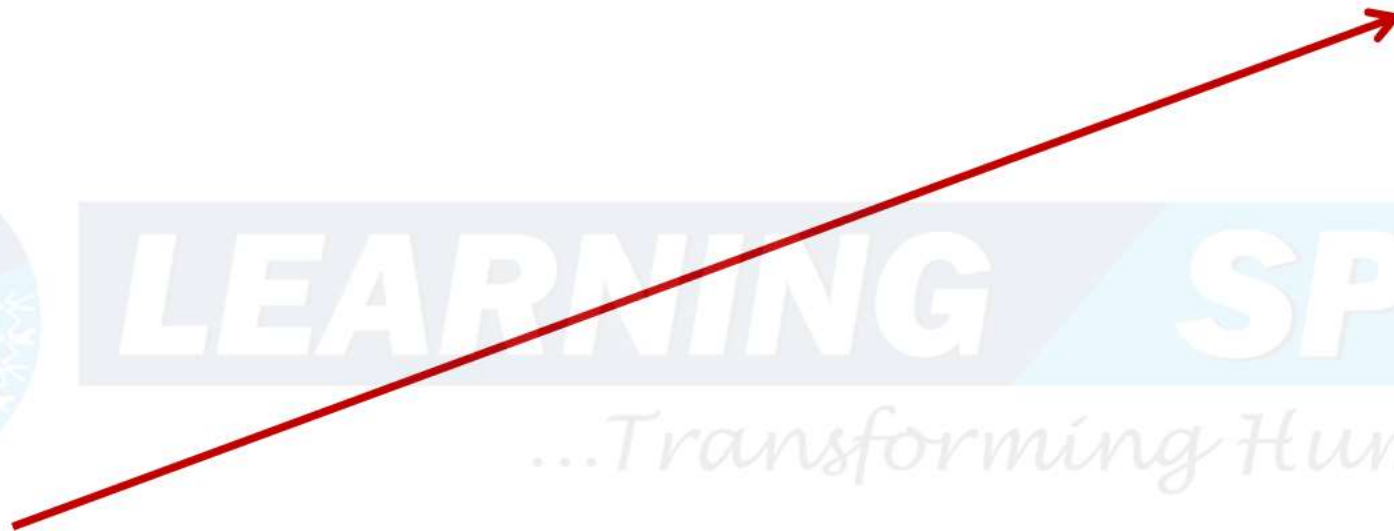
Soaring



LEARNING

SPACE

...Transforming Human Lives



Increasing quickly in amount,
number, value

Soaring



Imply



To communicate an idea or feeling,
without saying it directly

Imply



Revved up

*Reliance Jio is getting
Revved up for the launch
of new products*



Reliance
jio

Revved up

To make someone or something to
become more active



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True, central excise duty collections have soared a huge 31.6% in December alone. It **seems to** suggest **smart** increase in output generally . Note, however, that the prices of imported crude did double last year (**albeit** from a low base), and given **ad-valorem** duties like customs and excise, the revision would have led to a significant surge in tax revenues. Figures available for the first half of 2016-17 at the Petroleum Planning & Analysis Cell site show that indirect oil taxes have surged by over 20% for the Centre. It is also a fact that retail taxes on petroleum products add up to about 40% of total central indirect tax collections.



Seems to be

*He seems to
be a simple
person*



*The boy
seemed tired*



Seems to be

To be judged to be



Smart

*Intelligent and
able to think
quickly*



*The girl looks
smart*



Smart

Realistic, measurable



Albeit

*This laptop
looks amazing,
albeit costly*



*Bengaluru is a
good city, **albeit**
crowded*

Albeit ... although ... despite the fact that



Ad-valorem



Tax based on the price of the
product / service

Ad-valorem



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So, it cannot be **gainsaid** that oil has contributed heavily to the seeming surge in indirect taxes. **However**, we do need to modernise our indirect tax structure, broaden the tax base and not be much too disproportionately dependent on petroleum products for revenue. The **cascading** nature of taxes on oil products, with tax on taxed items **par for the course** in petroleum, only adds to the **surge** in tax revenue.



Gainsay

*It is unwise on your part to **gainsay** your doctor's prescription and stop using medicine*



Gainsay

- To declare to be untrue / invalid
- To refuse to accept something as truth
- To contradict or deny



However

*The bill is unlikely
to be passed,
however worthy it is*



Despite what ever amount or
degree

However



Cascading



Diesel



**SERVICE
CHARGE**

Cascading

- Effect in large quantity / effect on effect



Par for the course

It is *par for the course* that she is late to the school

1



2



Par for the course

- Taken as an average or norm, but not good
- Accepted standard



Surge

Profits of TCS have
surged in recent
times



Surge

A sudden, great / large increase



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There is a **paradigm** shift away from oil and fossil fuels, and in the transport sector, non-oil-fuelled vehicles seem likely to become commonplace much sooner than expected earlier. Hence the need to **rationalise** taxes on oil products in a time bound fashion. Besides, we need to have goods and services tax for petro-products so as to boost efficiency in transport and logistics. Top-up cesses might be warranted, on account of pollution greenhouse gas emissions.



Paradigm



Paradigm

A situation in which the usual and accepted way of doing things changes completely



Rationalise



food subsidy



LPG subsidy



Fertilizer subsidy

Rationalization of subsidies is the need of the hour

To make a company more effective, usually combining or stopping particular activities

Rationalise



Implications



The effect that an action or decision
will have on something else in future

Implications



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DISCUSSION ON

17th Jan (tomorrow)

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